PROPERTY CONDITION ASSESSMENT

Northgate Medical Plaza | Grand Rapids, MI

Property	Northgate Medical Plaza
Address	1777 Grand Court, Grand Rapids, MI 90409
Site Visit Date	January 24, 2021
Client	Vireo Income Properties
Immediate Repairs	$79,000

Construction Details

The roof is a 47-year membrane system with an estimated remaining useful life of 8 years. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Mechanical systems include rooftop package units and central plant equipment of varying age. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 44 stories. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 29-year membrane system with an estimated remaining useful life of 3 years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Common area interiors have been refreshed within the last 6 years and are in average to good condition. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $203,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 6 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Improvements Description

The roof is a 2-year membrane system with an estimated remaining useful life of 3 years. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 43 stories. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 34 spaces per 1,000 square feet.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $86,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $203,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

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Building Systems

Mechanical systems include rooftop package units and central plant equipment of varying age. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 3 stories. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 32-year membrane system with an estimated remaining useful life of 5 years.

Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 37-year membrane system with an estimated remaining useful life of 12 years.

Deferred Maintenance

Elevators were last modernized 12 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months.

Improvements Description

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 40 stories. The roof is a 33-year membrane system with an estimated remaining useful life of 4 years. Mechanical systems include rooftop package units and central plant equipment of varying age.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Common area interiors have been refreshed within the last 12 years and are in average to good condition. The roof is a 10-year membrane system with an estimated remaining useful life of 5 years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Deferred Maintenance

Elevators were last modernized 11 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $460,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $103,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 4 years and are in average to good condition. The roof is a 44-year membrane system with an estimated remaining useful life of 5 years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Mechanical systems include rooftop package units and central plant equipment of varying age. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Patient parking and ADA-compliant access are provided at a ratio of 41 spaces per 1,000 square feet. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 9-year membrane system with an estimated remaining useful life of 9 years. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	6	14	8	Good	$32,000	$100,000
Paving	5	17	12	Poor	$38,000	$256,000
HVAC	19	22	3	Good	$37,000	$143,000
Plumbing	23	26	3	Fair	$16,000	$99,000
Electrical	22	27	5	Good	$5,000	$165,000
Elevators	9	28	19	Fair	$13,000	$211,000
Fire/Life Safety	5	14	9	Fair	$11,000	$257,000
Windows	25	38	13	Good	$18,000	$139,000
Siding/Facade	8	16	8	Fair	$24,000	$136,000
Flooring	15	17	2	Fair	$14,000	$243,000
Appliances	16	28	12	Good	$5,000	$140,000
Landscaping	8	10	2	Good	$4,000	$156,000
Pool/Amenity	10	20	10	Fair	$22,000	$129,000
Signage	23	30	7	Fair	$34,000	$128,000
Fencing	17	24	7	Poor	$9,000	$6,000
Roof (2)	9	15	6	Good	$0	$236,000
Paving (2)	15	17	2	Poor	$10,000	$132,000
HVAC (2)	27	29	2	Fair	$38,000	$184,000
Plumbing (2)	4	19	15	Fair	$35,000	$64,000
Electrical (2)	21	24	3	Poor	$12,000	$186,000
Elevators (2)	13	27	14	Poor	$25,000	$140,000
Fire/Life Safety (2)	10	34	24	Fair	$1,000	$247,000
Windows (2)	25	31	6	Good	$40,000	$115,000
Siding/Facade (2)	11	24	13	Good	$1,000	$117,000
Flooring (2)	12	21	9	Good	$16,000	$137,000
Appliances (2)	1	37	36	Fair	$1,000	$162,000
Landscaping (2)	20	25	5	Fair	$20,000	$101,000
Pool/Amenity (2)	4	30	26	Fair	$5,000	$265,000
Signage (2)	2	12	10	Good	$31,000	$218,000
Fencing (2)	8	35	27	Fair	$21,000	$198,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Sidewalk	Roof	Trip hazards	Grind / replace	Reserve	$19,500
Water heater	Roof	Corrosion	Replace	Year 1	$87,500
Sprinkler heads	Bldg A	Painted heads	Replace	Year 2-5	$49,500
HVAC unit	Common	Beyond useful life	Replace RTU	Immediate	$74,500
Asphalt paving	Common	Alligator cracking	Mill and overlay	Year 2-5	$9,500
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Immediate	$34,000
Stair treads	Site	Worn / loose	Replace treads	Year 2-5	$58,000
Dumpster enclosure	Mechanical	Damaged gate	Repair	Year 2-5	$89,000
Dumpster enclosure	Bldg A	Damaged gate	Repair	Immediate	$86,000
Sprinkler heads	Site	Painted heads	Replace	Reserve	$7,000
Stair treads	Roof	Worn / loose	Replace treads	Immediate	$84,000
HVAC unit	Common	Beyond useful life	Replace RTU	Year 2-5	$88,500
Asphalt paving	Bldg B	Alligator cracking	Mill and overlay	Immediate	$20,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Reserve	$57,500
Window sealant	Mechanical	Failed	Re-caulk	Year 2-5	$56,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Immediate	$14,000
Window sealant	Site	Failed	Re-caulk	Reserve	$29,500
HVAC unit	Site	Beyond useful life	Replace RTU	Year 2-5	$3,000
Window sealant	Common	Failed	Re-caulk	Immediate	$19,500
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Immediate	$1,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Year 2-5	$8,500
Window sealant	Roof	Failed	Re-caulk	Year 1	$32,500
Sidewalk	Site	Trip hazards	Grind / replace	Year 2-5	$39,500
Sprinkler heads	Site	Painted heads	Replace	Reserve	$64,500
Handrail	Bldg A	Loose	Secure	Year 1	$6,000
Sprinkler heads	Bldg A	Painted heads	Replace	Year 2-5	$49,000
Window sealant	Roof	Failed	Re-caulk	Immediate	$47,500
Dumpster enclosure	Site	Damaged gate	Repair	Year 2-5	$76,000
Asphalt paving	Common	Alligator cracking	Mill and overlay	Reserve	$77,000
Water heater	Bldg B	Corrosion	Replace	Year 2-5	$88,500
Sprinkler heads	Common	Painted heads	Replace	Immediate	$50,000
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Year 1	$2,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Reserve	$31,500
Stair treads	Common	Worn / loose	Replace treads	Year 1	$32,000
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Year 2-5	$9,500
Handrail	Roof	Loose	Secure	Year 2-5	$49,000
Fire extinguishers	Common	Expired tags	Service	Year 1	$57,000
Sprinkler heads	Bldg B	Painted heads	Replace	Immediate	$21,000
Water heater	Roof	Corrosion	Replace	Immediate	$71,000
Handrail	Bldg B	Loose	Secure	Year 1	$83,000

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Recommendations

Elevators were last modernized 5 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $461,000.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 6 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 9 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $372,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $131,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $352,000.

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Building Systems

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 43-year membrane system with an estimated remaining useful life of 11 years. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 44 stories.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $123,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 10 years ago and are operating without deficiency.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 12 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $139,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months.

Improvements Description

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The roof is a 28-year membrane system with an estimated remaining useful life of 7 years. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 12 stories.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The roof is a 30-year membrane system with an estimated remaining useful life of 7 years. Patient parking and ADA-compliant access are provided at a ratio of 19 spaces per 1,000 square feet. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $263,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 44 months. Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 12 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $327,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Building Systems

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The roof is a 25-year membrane system with an estimated remaining useful life of 4 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 33 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Common area interiors have been refreshed within the last 9 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	16	17	1	Good	$25,000	$144,000
Paving	7	24	17	Fair	$26,000	$191,000
HVAC	1	22	21	Fair	$5,000	$206,000
Plumbing	1	33	32	Poor	$5,000	$90,000
Electrical	8	10	2	Fair	$31,000	$115,000
Elevators	11	11	0	Fair	$36,000	$238,000
Fire/Life Safety	39	39	0	Fair	$26,000	$100,000
Windows	34	40	6	Fair	$23,000	$181,000
Siding/Facade	5	37	32	Fair	$20,000	$252,000
Flooring	12	33	21	Good	$5,000	$50,000
Appliances	5	15	10	Fair	$12,000	$220,000
Landscaping	13	30	17	Good	$39,000	$176,000
Pool/Amenity	34	35	1	Fair	$30,000	$247,000
Signage	4	19	15	Fair	$23,000	$122,000
Fencing	9	14	5	Fair	$11,000	$6,000
Roof (2)	21	27	6	Poor	$10,000	$237,000
Paving (2)	19	32	13	Good	$7,000	$95,000
HVAC (2)	9	22	13	Good	$14,000	$280,000
Plumbing (2)	2	34	32	Fair	$36,000	$270,000
Electrical (2)	18	38	20	Poor	$2,000	$228,000
Elevators (2)	3	12	9	Poor	$36,000	$205,000
Fire/Life Safety (2)	22	36	14	Good	$18,000	$66,000
Windows (2)	8	26	18	Poor	$37,000	$205,000
Siding/Facade (2)	14	31	17	Fair	$11,000	$133,000
Flooring (2)	14	14	0	Fair	$16,000	$158,000
Appliances (2)	3	13	10	Poor	$25,000	$257,000
Landscaping (2)	9	14	5	Fair	$19,000	$121,000
Pool/Amenity (2)	4	13	9	Poor	$21,000	$181,000
Signage (2)	1	13	12	Good	$35,000	$67,000
Fencing (2)	12	18	6	Fair	$30,000	$216,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Stair treads	Site	Worn / loose	Replace treads	Immediate	$8,000
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Immediate	$64,500
Dumpster enclosure	Mechanical	Damaged gate	Repair	Year 1	$35,000
Sprinkler heads	Common	Painted heads	Replace	Year 1	$88,000
Fire extinguishers	Site	Expired tags	Service	Year 1	$33,000
Sidewalk	Common	Trip hazards	Grind / replace	Reserve	$50,500
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 1	$47,000
Dumpster enclosure	Site	Damaged gate	Repair	Year 1	$36,500
Stair treads	Mechanical	Worn / loose	Replace treads	Immediate	$82,000
Sidewalk	Bldg B	Trip hazards	Grind / replace	Year 2-5	$70,500
Stair treads	Bldg B	Worn / loose	Replace treads	Year 1	$52,500
Roof membrane	Common	Ponding / seams	Re-seal and repair	Year 2-5	$72,000
Dumpster enclosure	Roof	Damaged gate	Repair	Year 2-5	$88,500
Fire extinguishers	Roof	Expired tags	Service	Immediate	$24,000
Water heater	Common	Corrosion	Replace	Year 2-5	$53,500
Sprinkler heads	Common	Painted heads	Replace	Year 2-5	$9,000
Water heater	Mechanical	Corrosion	Replace	Reserve	$50,000
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 1	$66,000
Fire extinguishers	Bldg A	Expired tags	Service	Year 1	$70,500
HVAC unit	Common	Beyond useful life	Replace RTU	Immediate	$44,500
Fire extinguishers	Bldg A	Expired tags	Service	Year 1	$62,000
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Immediate	$31,500
Roof membrane	Site	Ponding / seams	Re-seal and repair	Immediate	$38,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$27,500
Fire extinguishers	Bldg B	Expired tags	Service	Year 1	$74,000
Water heater	Roof	Corrosion	Replace	Immediate	$29,000
Dumpster enclosure	Mechanical	Damaged gate	Repair	Immediate	$16,000
Sprinkler heads	Bldg B	Painted heads	Replace	Year 2-5	$38,500
HVAC unit	Site	Beyond useful life	Replace RTU	Immediate	$5,000
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Reserve	$22,500
Dumpster enclosure	Common	Damaged gate	Repair	Reserve	$15,000
Stair treads	Roof	Worn / loose	Replace treads	Reserve	$61,000
Roof membrane	Common	Ponding / seams	Re-seal and repair	Year 1	$78,000
Sprinkler heads	Mechanical	Painted heads	Replace	Year 2-5	$60,000
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Year 2-5	$64,500
Stair treads	Common	Worn / loose	Replace treads	Year 1	$6,500
Stair treads	Roof	Worn / loose	Replace treads	Year 1	$2,500
Water heater	Mechanical	Corrosion	Replace	Year 1	$22,000
Sprinkler heads	Roof	Painted heads	Replace	Reserve	$52,500
Handrail	Site	Loose	Secure	Immediate	$52,500
Water heater	Common	Corrosion	Replace	Immediate	$54,000
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Immediate	$54,000
HVAC unit	Site	Beyond useful life	Replace RTU	Year 2-5	$32,000

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Recommendations

Elevators were last modernized 11 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $37,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $24,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 4 years ago and are operating without deficiency.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $74,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $296,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $470,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Improvements Description

Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Common area interiors have been refreshed within the last 12 years and are in average to good condition.

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 2 spaces per 1,000 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $194,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 9 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $382,000.

Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Patient parking and ADA-compliant access are provided at a ratio of 27 spaces per 1,000 square feet. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

The roof is a 6-year membrane system with an estimated remaining useful life of 6 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 5 spaces per 1,000 square feet.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $213,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $295,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Building Systems

Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 33 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $40 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Northgate Medical Plaza was originally constructed in 2008 and consists of 351,990 SF in a building of 25 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Deferred Maintenance

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	29	29	0	Poor	$25,000	$12,000
Paving	9	17	8	Poor	$6,000	$40,000
HVAC	11	16	5	Good	$40,000	$121,000
Plumbing	23	28	5	Fair	$7,000	$69,000
Electrical	16	23	7	Poor	$8,000	$236,000
Elevators	21	22	1	Fair	$14,000	$115,000
Fire/Life Safety	12	16	4	Good	$20,000	$226,000
Windows	16	22	6	Poor	$11,000	$154,000
Siding/Facade	9	26	17	Poor	$31,000	$57,000
Flooring	24	26	2	Poor	$1,000	$198,000
Appliances	13	19	6	Good	$19,000	$120,000
Landscaping	40	40	0	Good	$29,000	$144,000
Pool/Amenity	11	13	2	Poor	$36,000	$61,000
Signage	14	14	0	Fair	$2,000	$207,000
Fencing	29	30	1	Fair	$18,000	$19,000
Roof (2)	10	17	7	Fair	$17,000	$19,000
Paving (2)	13	18	5	Fair	$40,000	$86,000
HVAC (2)	18	30	12	Fair	$21,000	$131,000
Plumbing (2)	4	17	13	Fair	$36,000	$198,000
Electrical (2)	19	21	2	Poor	$19,000	$263,000
Elevators (2)	18	22	4	Fair	$10,000	$26,000
Fire/Life Safety (2)	23	27	4	Fair	$18,000	$89,000
Windows (2)	1	14	13	Good	$15,000	$258,000
Siding/Facade (2)	11	15	4	Poor	$30,000	$156,000
Flooring (2)	4	11	7	Fair	$5,000	$50,000
Appliances (2)	4	31	27	Fair	$4,000	$135,000
Landscaping (2)	12	14	2	Fair	$16,000	$82,000
Pool/Amenity (2)	4	10	6	Good	$34,000	$141,000
Signage (2)	4	29	25	Fair	$1,000	$69,000
Fencing (2)	15	18	3	Poor	$30,000	$80,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Water heater	Roof	Corrosion	Replace	Year 2-5	$84,000
Stair treads	Bldg B	Worn / loose	Replace treads	Immediate	$58,500
Sprinkler heads	Bldg A	Painted heads	Replace	Year 1	$51,500
Handrail	Site	Loose	Secure	Immediate	$55,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Reserve	$58,000
Handrail	Bldg B	Loose	Secure	Reserve	$3,000
HVAC unit	Roof	Beyond useful life	Replace RTU	Immediate	$68,500
Window sealant	Bldg A	Failed	Re-caulk	Year 1	$75,000
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Year 1	$45,500
Fire extinguishers	Roof	Expired tags	Service	Immediate	$16,500
Handrail	Common	Loose	Secure	Immediate	$34,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Year 2-5	$65,000
Asphalt paving	Site	Alligator cracking	Mill and overlay	Immediate	$49,500
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Immediate	$47,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$55,500
Window sealant	Mechanical	Failed	Re-caulk	Immediate	$1,000
Stair treads	Mechanical	Worn / loose	Replace treads	Year 1	$6,500
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Reserve	$68,000
Sprinkler heads	Bldg A	Painted heads	Replace	Year 2-5	$25,000
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Immediate	$42,500
Dumpster enclosure	Bldg A	Damaged gate	Repair	Reserve	$17,500
Handrail	Bldg B	Loose	Secure	Reserve	$49,500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Reserve	$77,000
Water heater	Mechanical	Corrosion	Replace	Reserve	$12,500
Water heater	Site	Corrosion	Replace	Year 2-5	$77,500
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Year 1	$32,000
Roof membrane	Bldg A	Ponding / seams	Re-seal and repair	Year 2-5	$5,000
Water heater	Common	Corrosion	Replace	Reserve	$35,000
Fire extinguishers	Bldg A	Expired tags	Service	Year 2-5	$8,000
Fire extinguishers	Roof	Expired tags	Service	Year 1	$5,000
Sidewalk	Bldg A	Trip hazards	Grind / replace	Year 2-5	$74,500
Fire extinguishers	Site	Expired tags	Service	Immediate	$54,500
Dumpster enclosure	Bldg A	Damaged gate	Repair	Year 1	$25,000
Handrail	Common	Loose	Secure	Immediate	$45,500
Stair treads	Bldg B	Worn / loose	Replace treads	Year 2-5	$63,500
Sidewalk	Bldg B	Trip hazards	Grind / replace	Year 2-5	$68,000
Stair treads	Common	Worn / loose	Replace treads	Reserve	$43,000
Roof membrane	Bldg B	Ponding / seams	Re-seal and repair	Year 1	$65,000
Sidewalk	Bldg A	Trip hazards	Grind / replace	Year 1	$52,000
Stair treads	Bldg A	Worn / loose	Replace treads	Reserve	$61,000

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Northgate Medical Plaza and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on January 7, 2021.

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Michael Larsen, CPG

Lindqvist Engineering Group

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